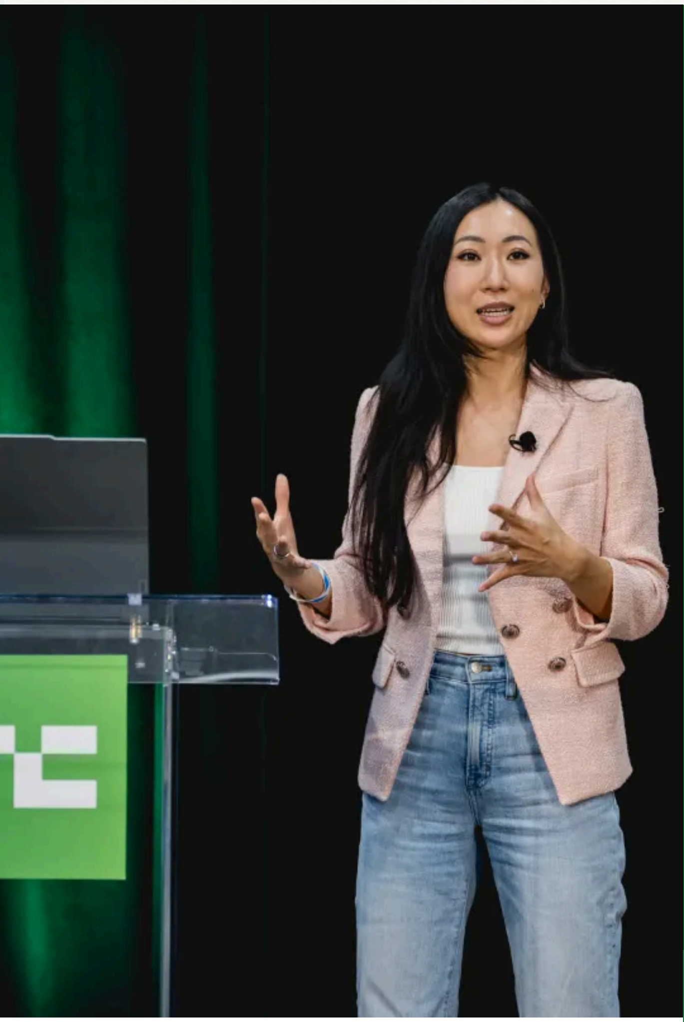


IMAGE CREDITS: TECHCRUNCH / GETTY IMAGES

VENTURE

What founders should think about if looking to raise a Series C

Dominic-Madori Davis — 6:00 AM PDT · August 2, 2025

Startup founders face a perplexing and even contradictory capital market in 2025, according to Sapphire Ventures partner Cathy Gao. “Capital isn’t scarce. But access to that capital is harder than ever,” she said.

Gao, who spoke at TechCrunch’s All Stage conference in July, said it’s possible for startup founders, especially those in the later Series C stage, to navigate this particular economic environment. And they need to start with a reality check.

To begin, she said, it’s important to note that only one in five startups that raise a Series A ever make it to raise a Series C. And, in the past year, the bar for raising late-stage capital has only risen; investors are no longer just chasing momentum, as many were in the last few years — they are chasing *certainty*, Gao said.

“Investors are now asking: ‘Is this company truly a winner in whatever market that they’re serving?’” Gao said. “The question really isn’t, ‘Is this company growing?’ The question has shifted to, ‘Is this company on a trajectory where the upside is really undeniable?’”

Companies raising Series C rounds should meet certain criteria. For one, they’re all category leaders, according to Gao.

“They’re defining their categories. They have clear go-to-market and undeniable pull,” she said. “In short, they’re growing efficiently, but there’s also traction to show that these are truly the market leaders in the spaces that they operate in.”

Companies looking to raise a Series C should also remember that metrics do not always equal money. Sure, metrics are important, as are annual returns, growth, and retention, she said, but if investors are not sold on the idea that a company can truly become a leader in their respective space, then they are going to move on.

“Investors have to explain why a company will win in the future,” she continued. For example, there are companies that don’t have amazing metrics yet somehow raise a suitable Series C round. In one case, a startup nabbed more than a $2 billion valuation, she noted. "They were effectively able to communicate the story to investors why this company will be a leading company over time," Gao said of the company's successful raise.

Another Gao rule: Continuity is better than short-term virility.

In the age of AI, companies are growing faster than investors have ever seen before, she noted. "But oftentimes it's the case, what goes up also sharply comes down," Gao said. "So the question is, 'Is this growth sustainable?'"

In a Series C, investors are looking for "compounding loops," or seeing that the company gets stronger as it scales, she said.

"Does your product get better for every new customer you sign? Does your CAC [customer acquisition cost] decrease or increase for every new user you bring on board?" she asked.

If the answer is yes, then investors will "lean in," Gao said; if the answer is no, then investors are most likely to "lean out," even if a company's metrics look very strong.

Finally, she said, founders should treat fundraising like a go-to-market campaign and seek to develop relationships with VCs before pitching them for capital. Gao cited her firm as an example. Sapphire likes to invest in a company at the Series B level, but they usually have known the company for a year or longer.

"That means at the Series A, even though we're not actively leaning in to try and raise, we're trying to build a relationship with a company and with the founder," she said. "We're getting information and we're developing a longitudinal picture of how this company has progressed."

She said founders should start building a "lightweight investor CRM," or a database managing the relationships with investors.

Investors take notes while meeting with founders, and founders should do the same, she said. Founders should write down the names of partners, what they like to invest in, and what companies they've backed recently. Create a distribution list and send out periodic updates to the investors on it, she said. "This is an easy way to keep inventors in the loop."

Perhaps most importantly, however, Gao noted that a company looking to raise a Series C should not enter a fundraise until they've received a signal from multiple firms that they're interested in backing the round.

"The last thing you want to do is time the market incorrectly," she said. After all, timing is everything at the Series C level. "It's not about luck, pitching to a 50 and hoping that one says yes," she continued. "It's really about timing and planning ahead."

Topics: cathy gao Fundraising series C Startups Venture

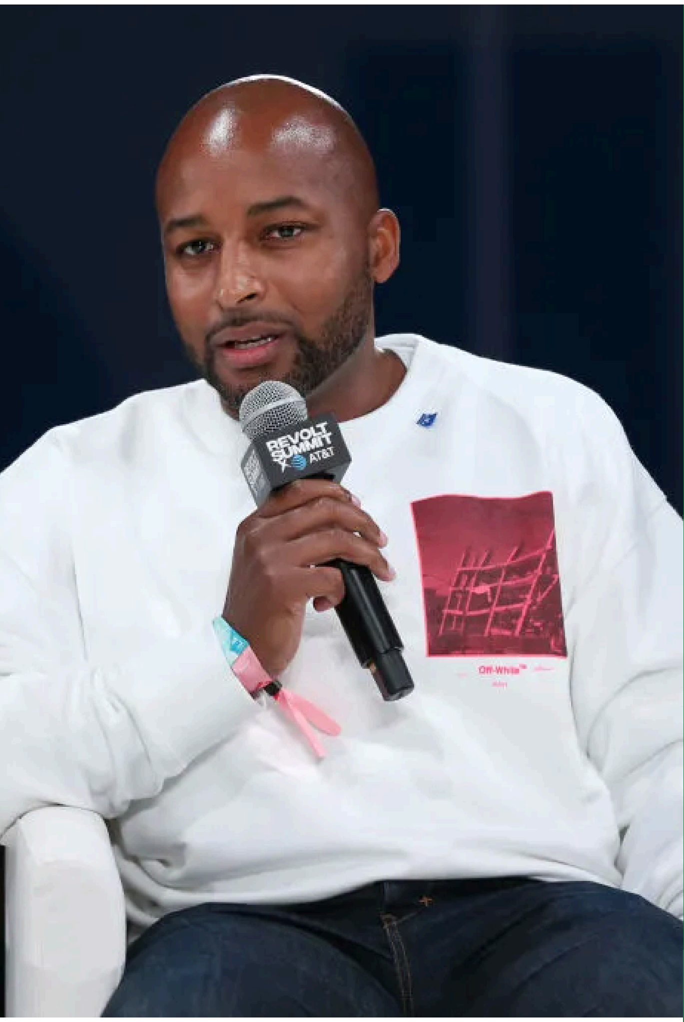
Dominic-Madori Davis

Senior Reporter, Venture

Dominic-Madori Davis is a senior venture capital and startup reporter at TechCrunch. She is based in New York City....

View Bio

KEEP READING



FUNDRAISING

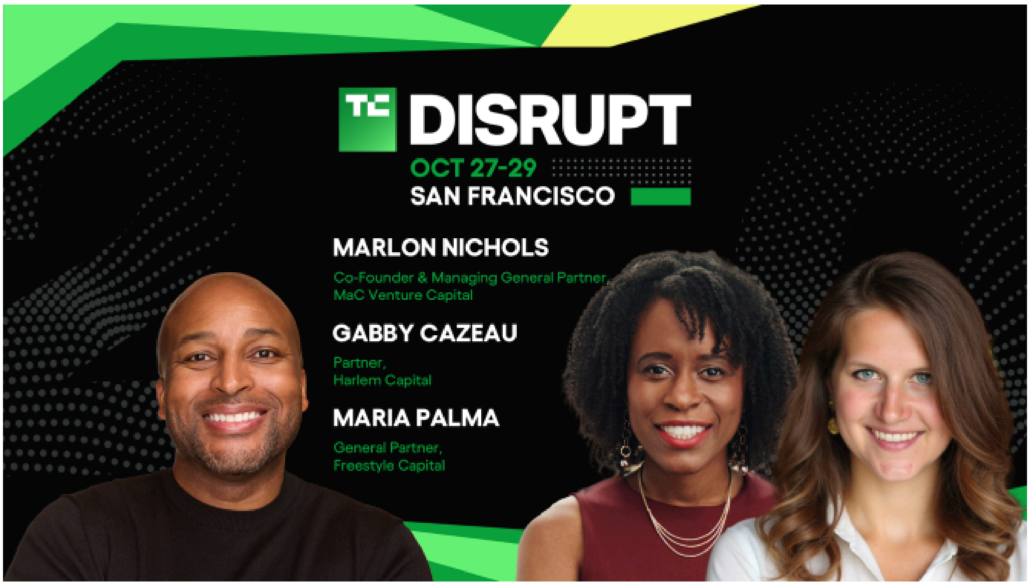
How to actually raise a seed round: Actionable advice from top investors at TechCrunch Disrupt 2025

TechCrunch Events 11:48 AM PDT · August 6, 2025

IMAGE CREDITS: PHILLIP FARAONE / GETTY IMAGES

[TechCrunch Disrupt 2025]() returns to Moscone West in San Francisco from October 27-29, bringing together more than 10,000 startup and VC leaders for an inside look at where innovation is headed. Among the must-attend sessions is a candid panel on the Builders Stage about one of the most high-stakes moments in any founder's journey: raising your first round.

Register now to save up to $675 on your ticket and join this conversation — plus 200+ more sessions across five industry stages, roundtables, and breakouts. **Prices go up tonight at 11:59 p.m. PT.**



From pitch to partnership: The real roadmap to seed funding

This dynamic panel brings together three seasoned investors — Maria Palma (Freestyle Capital), Gabby Cazeau (Harlem Capital), and Marlon Nichols (MaC Venture Capital) — to unpack the realities of early-stage fundraising. From shaping a compelling pitch to choosing the right capital partners, they'll share honest, actionable insights to help founders translate interest into investment.

Maria Palma, general partner at Freestyle Capital, brings deep operating and investing experience, with past roles at Kindred Capital, RRE Ventures, and leadership positions at high-growth startups like Eyeview. She's backed companies such as Fung Money, Lightning Labs, and Payman, and holds an MBA from Harvard.

Newsletters

See More ↗

Subscribe for the industry's biggest tech news

TechCrunch Daily News

Every weekday and Sunday, you can get the best of TechCrunch's coverage.

Startups Weekly

Startups are the core of TechCrunch, so get our best coverage delivered weekly.

TechCrunch Week in Review

Get the best of our coverage, delivered to your inbox every Saturday.

TechCrunch Mobility

TechCrunch Mobility is your destination for transportation news and insight.

No newsletters selected.

Email address

Subscribe

By submitting your email, you agree to our Terms and Privacy Notice.

What to expect on the Builders Stage

This isn’t your typical venture panel. Expect sharp insights on how to cut through the noise, structure your raise, and build relationships that last beyond a term sheet. Whether you’re gearing up for your first round or advising a founder who is, this is the session you don’t want to miss.

Catch Palma, Cazeau, Nichols, and [250+ tech heavyweights] across the six industry-specific stages, as well as in breakouts and roundtables, live at TechCrunch Disrupt 2025, at Moscone West in San Francisco. [Register now] and lock in up to $675 in ticket savings before today ends!

Topics: Disrupt 2025 Fundraising Startups TC TC Event Promo TechCrunch Disrupt TechCrunch Disrupt 2025 Venture

TechCrunch Events

View Bio

KEEP READING

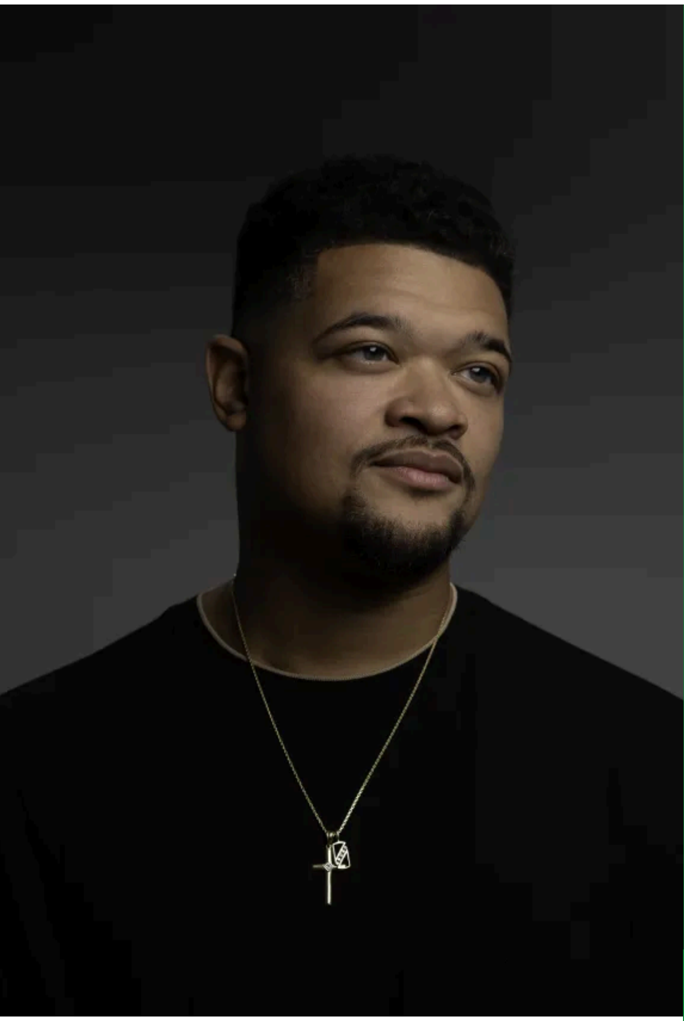


IMAGE CREDITS: JJ JUMOC-CASAS

STARTUPS

Payment platform Lava raises $5.8M to build digital wallets for the 'agent-native economy'

Dominic-Madori Davis — 8:45 AM PDT · August 6, 2025

A new startup, Lava Payments, aims to take on payment giants by building a solution for the modern web where AI agents now handle transactions for their customers. The idea came to founder Mitchell Jones after he left his earlier Y Combinator-backed fintech startup, Lendtable, as he began to experiment with AI.

He saw the potential to build out a system that would make using AI and agent payments simpler and more developer-friendly. While experimenting with an AI app and trying to build what he thought was something simple, he realized he quickly spent more than $400 trying to build a basic form-filling agent.

"I kept running into the same issue," he told TechCrunch. "I was using the same underlying models and tools again and again, but through different wrappers or platforms." And each time, he had to start a new subscription, re-authenticate, and pay separately, "even though I was already paying for access to the core model."

Latest in Startups

See More

"That felt fundamentally broken," he continued. "I didn't want to keep rebuying access to the same thing under a different wrapper. What I wanted was a single wallet, one set of credits, and the ability to move between tools and providers without starting over every time so I could pay for what I was using."

He decided to launch Lava Payments as a solution.

Lava is a digital wallet that lets merchants use usage credits to facilitate transactions.

The idea is that one set of credits working across merchants and services makes it easier for autonomous agents to make payments without needing human intervention. It works like this: A merchant can enable the Lava wallet for their customers to use and upload (credits) money to. Once a customer does that, they can take that money and use it at any merchant that also accepts Lava and any of the foundational models, like GPT and Claude, on a "pay as you go basis," Jones said.

So, rather than having to pay for each tool, a user buys a one-time usage credit that AI agents can simply charge as they perform various tasks. No more asking the user to approve transaction after transaction.

"Without Lava, agents can't move smoothly through the internet because they constantly get blocked when it comes time to pay," he said. He used Google as an example, saying every time a person opens Google Maps, they don't have to pay Google for that map, as they've already paid Verizon and AT&T to access the internet.

On Wednesday, the startup announced a $5.8 million seed round led by Lerer Hippeau.

Others in this space include startups like [Metronome.](#)

"We see the world as very interconnected," Jones said about what makes his product different. "What we're really focused on is building [for the] agent-native economy."

Born to a working family in Dayton, Ohio, Jones said his parents always told him the best way to get ahead was to work hard, save money, and get a good education.

"You know, a lot of the things that most people are told," he recalled, when speaking with TechCrunch.

Jones took that advice to heart. He got a good education (Yale), held some good jobs (Goldman, Meta), and then founded some companies (the fintechs Parable and Lendtable, the latter of which was YC S20).

Jones said he met his lead investors for Lava because he went to high school with [Will McKelvey, now an investor at Lerer Hippeau](#). He said

McKelvey has been following his career for a while and always wanted to work together someday, and Lava Payments was that someday.

Others in the round included Harlem Capital, Streamlined Ventures, and Westbound. The fresh capital will be used for hiring, building products, and developing go-to-market strategies.

Overall, Jones is ready for Lava to be the “invisible layer that kind of powers the AI web,” he says, especially as AI agents find themselves more and more in the checkout line.

“We should be enabling agents to move, transact, and build without friction,” he said.

“We want to make sure that AI is something that can be used by every single person, even a kid from Dayton, like myself.”

The title of this piece was updated to properly reflect what the company does.

Topics: AI Fintech Lerer Hippeau payments Startups


Dominic-Madori Davis
Senior Reporter, Venture

Dominic-Madori Davis is a senior venture capital and startup reporter at TechCrunch. She is based in New York City....

View Bio

Loading the next article